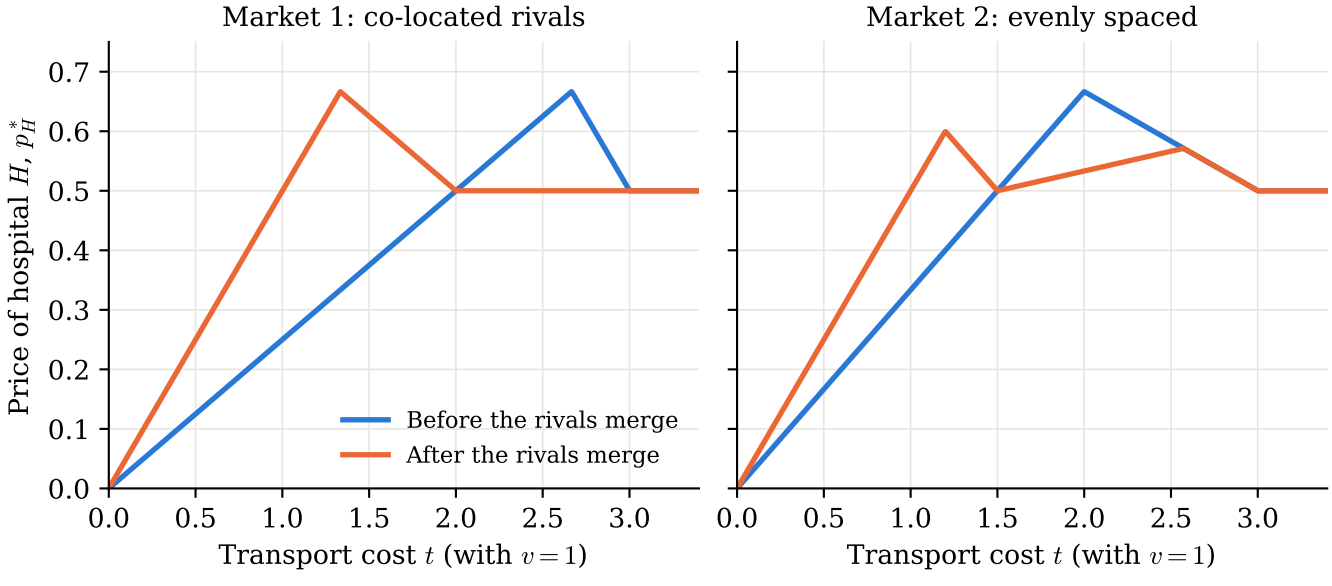
Market 1: co-located rivals
Market 2: evenly spaced
Price of hospital H, p_H^*
0.0
0.1
0.2
0.3
0.4
0.5
0.6
0.7
0.0
0.5
1.0
1.5
2.0
2.5
3.0
Transport cost t (with $v = 1$)
Before the rivals merge
After the rivals merge